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Lesson Notes

MODULE 5 | LESSON 1

SECURITIZATION

Reading Time	90 minutes
Prior Knowledge	Mortgage, Mortgage-backed security (MBS)
Keywords	Investment bank, Special purpose entity (SPE) / Special purpose vehicle (SPV), Collateralized debt obligation (CDO), Tranche, Waterfall cash flow

In Module 4, we defined a derivative as a financial instrument whose value depends on the value of some underlying asset(s). Now, we refine this definition to say that a derivative has a finite lifetime and that its value is known precisely at either inception (e.g., swap) or expiration (e.g., option). Thus, while a weather derivative does not have an underlying asset or security (often called "the underlying"), it still satisfies the price condition at one of the boundaries. We also introduced the concept of a mortgage-backed security (MBS) as a type of derivative security that is backed, or secured, by a bundle of home loans. If you need a refresher on mortgages, refer to Module 4, Lesson 3 as needed.

*In this lesson, we track a mortgage from **origination** to **securitization**. Origination is the creation of the mortgage loan itself: a bank originates a mortgage simply by entering a mortgage contract and lending money. Securitization was defined in Module 4 as the creation of new securities that are collateralized by assets such as mortgages. We will also discuss credit risk and how to analyze it conceptually. Then, we discuss in more detail the transformation of mortgages into MBSs via the securitization process.*

1. Introduction to Mortgages

Mortgages are used by individuals and businesses to buy real estate without paying the entire purchase price up front. We will refer to either an individual or a business as the borrower. Once approved, the borrower gets the money to buy the real estate unit and repays the loan plus interest over a specified number of years until they own the property free and clear. Typically,

mortgage terms are for 15 to 30 years with monthly payments due at the beginning of each month.

Most traditional mortgages are fully amortizing. This means that the regular payment amount will stay the same, but different proportions of principal vs. interest will be paid over the life of the loan with each payment.

If you've never seen an amortization table for a fully amortizing mortgage you should take a look at this [spreadsheet](#) and you are invited to play with it.

You should be able to understand why a mortgage contains credit risk for the lender. Essentially, it takes a long time for the borrower to repay the lender. During that time, several things could go wrong. For instance, a borrower could suffer a job loss or a severe illness, which could impair the borrower's ability to repay the lender; as a result, the lender could lose part of the principal and the interest payments.

While the mortgage rate is fixed in our spreadsheet, mortgages can contain variable rates. Imagine that mortgage interest rates were to go from 2.5% to 7.5%. If you play again with the spreadsheet, you will notice that the monthly total payment can go up substantially, maybe even above what the borrower can afford to pay, in which case the borrower will not be able to make the agreed-upon timely payments. In this case, the lender takes control over the property from the borrower using a legal process called **foreclosure**. Then, the lender will likely try to sell the property, but it could still not raise the money owed to them.

There is also another possibility: the borrower could realize that the mortgage is **underwater**, i.e., the borrower owes more than the home is worth. In some cases, it makes sense to quit making payments and walk away from the mortgage. While this will have severe consequences for the credit score of the borrower, it also puts the lender at risk.

Furthermore, not all mortgages are the same, even aside from the amounts. Some borrowers with low credit ratings are not able to obtain a **prime conventional mortgage** because lenders view them as having a greater-than-average risk of defaulting on the loan. However, these borrowers could qualify for what are called **subprime mortgages**. This class of mortgages often involves adjustable rates (ARM), which allows for the interest rate to potentially increase at a specified point in time during the life of the mortgage. As such, the higher interest rates on subprime mortgages are intended to compensate the lenders for the additional risk.

Specific to the United States, there is also a class of mortgages known as **jumbo loans** or **mortgages**. A jumbo loan is a mortgage used to finance properties that are too expensive for a conventional mortgage. Loan limits are set by the **Federal Housing Finance Agency** (FHFA) and assigned to two government-sponsored enterprises in terms of the maximum amount the FHFA agrees to cover: the Federal National Mortgage Association (FNMA, colloquially known as *Fannie Mae*) and the Federal Home Loan Mortgage Corporation (FHLMC, commonly known as *Freddie Mac*). Note that these are government sponsored enterprises (GSE) and not government agencies.

These two GSEs are responsible for buying the bulk of U.S. residential mortgages from lenders, and they set the limit on the maximum value of any individual mortgage that they will purchase from lenders. This amount is important because lenders rely on these purchases to free up liquidity and provide new loans. As of this writing (2024), the limit is \$766,550 in most counties, but it changes every year. Jumbo mortgages may have high credit quality, but they are in amounts above conventional conforming loan limits. In areas of the U.S. where the prices of real estate are very high, most mortgages could be jumbo loans. Traditionally, the interest rates on jumbo mortgages are higher than for conforming mortgages, but not in every case. However, jumbo loans have been associated with some of the craziest excesses during the housing bubble (2004-2007). During that period, over \$3 trillion worth of jumbo loans were originated and offered at terms that were too easy and which ultimately precipitated the collapse that ensued, as most of us know by now.

Once one understands that mortgages are complex creatures and that there are risks behind mortgages, one should also realize why lenders put borrowers through what is usually a rigorous vetting process. We could say that if this process had been equally rigorous during the housing bubble, perhaps we would not have experienced what we did, but that is a story for another time. We will look at how banks and lenders in general vet prospective borrowers more in detail in the next section.

2. Credit Risk

If you are lucky and prudent, you might be able to save enough money for a down payment on a home. In the United States, the down payment amount is typically 20% of the home price. For example, if you want to buy a home for \$500,000, you will need 20% of \$500,000, or \$100,000, as a down payment. You will need to borrow the \$400,000 from a family member or friend or, more likely, from a bank. You could try to take out a personal loan, but more often, at least in the U.S., you would probably take out a mortgage loan. A bank that provides a mortgage is said to **originate a mortgage**.

In the U.S., the borrower applies for a mortgage from a retail bank, or possibly from a mortgage bank that specializes in residential mortgages. (Note that some banks may specialize in commercial mortgages.) Borrowing is a type of credit, and banks are traditionally in the business of providing credit (loans), so it's no surprise that loans have credit risk. What is credit risk? As you recall from Module 1, credit risk is the risk that the lender does not receive the money that is owed to them in full and on time. In other words, credit risk is the risk of loss due to non-payment. In the case of a mortgage, it is the risk that the borrower does not pay back all of the money borrowed to buy a home.

To manage credit risk, a bank requires a significant amount of credit information from its clients. For instance, the borrower must complete a lengthy application for a mortgage. This application requires various types of information. You can probably already guess at least some of the types of

information that a bank would want to know about a borrower before deciding to originate a loan.

Before moving on, take a minute or two to write down what information you would want to know about a borrower before loaning them money.

Then, [check out the *Open Risk Manual* from the required reading](#). Does what you wrote down match one or more of the 5 Cs of credit analysis?

Next, we'll take a closer look at the 5 Cs:

- Capacity;
- Capital;
- Character;
- Collateral; and
- Conditions.

2.1 Capacity

Very simply, capacity refers to the ability of the borrower to repay a loan. This means that a lender needs to consider the borrower's revenues and expenses to decide whether the borrower has the capacity to make the required payments.

To do this, lenders may look at credit scores since a way a person handles credit cards and personal credit can show how the person manages the credit they receive. However, certain metrics play an important role, like debt-to-income ratio (DTI), in which all outstanding debt is compared to a person's earnings. The lower the DTI, the higher the likelihood that the borrower will be able to make timely payments.

Assume that you are extending a loan to someone called Nushi. You would probably want to know whether Nushi has the capacity to pay you back. To this purpose you may ask "Does Nushi have a job?" If so, she is more likely to be able to pay you back from her paycheck. If she own a business, is the business profitable? If so, she is more likely to repay the loan with the profits from her business.

You find out that Nushi has a job, so you feel better about loaning her money because having a job increases her capacity to repay her debt. However, you may find out that, despite having a job, Nushi also owes money to the bank, and this could worry you as her income needs to go toward repaying two debts, if she does in fact get the loan from you. These should both be considered in deciding whether to give Nushi a loan.

2.2 Capital

In general, without showing some capital, it is not likely that you will get a loan or a line of credit. If a person has a large net worth (everything they own minus everything they owe), they are more likely to be able to pay you back.

The analysis is the same for a company's **capital** or net assets, which is equal to total assets minus total liabilities.

Suppose Nushi has a car, a nice television, and a nice watch. She just doesn't have much cash right now, and she needs to buy gas so she can get to work. She already owes money to the bank, but not that much, so her net worth is still strong: she owns much more than she owes.

2.3 Character

In addition to Nushi's capacity to pay back the loan and her capital, we must also consider Nushi's **character**. Consider Nushi's previous history when it comes to repayment of debt to determine how likely it is that Nushi will be able to repay you.

Is Nushi a responsible person? Has she paid back her loans in the past? If you know that she is the type of person who takes her obligations very seriously, then you can probably expect her to take this new obligation seriously as well. Similarly, if she has a history of borrowing money from you and paying you back, then you are probably more comfortable loaning her money again because her character shows that she is more likely to pay back her next loan.

2.4 Collateral

Collateral refers to the assets a borrower can put up as security. In this situation, we would want to know what collateral Nushi can offer up if she is unable to repay the loan. Note that collateral is not always a requirement when taking out a loan.

Now let's say that Nushi wants to borrow 3,000 Nigerian Naira (NGN). She says, "Take my watch and hold onto it until I pay you back." In that case, her watch is the collateral for the loan she wants. You believe her watch is worth 4,000 NGN. You feel more comfortable loaning her 3,000 NGN because if she does not pay you back, you can keep the watch. Alternatively, you can sell the watch for around 4,000 NGN so that you can recoup the money you loaned Nushi.

2.5 Conditions

Conditions, the fifth C, is often the most ambiguous or broad.

Conditions might refer to contractual terms of the loan agreement, such as the principal amount, the repayment period, the interest rate, and the purpose of the loan. You might be willing to loan Nushi 3,000 NGN, but not 300,000 NGN. Additionally, you are willing to loan money to Nushi until she can pay you back in a day or two, but not in a month, a year, or 30 years. You might not loan Nushi 3,000 NGN if she promises to only repay the 3,000 NGN, but perhaps you will if she promises to pay you 5,000 Naira the next day. You might only feel comfortable loaning money to Nushi for gas so she can go to work and then pay you back, meaning you might be willing to loan money to Nushi as long as she keeps her job. But if she quits her job, you may want to be paid back immediately. On the other hand, you might not be comfortable loaning Nushi money for stylish sunglasses or fancy clothes, so you might loan her the money only on the condition that she uses it for an asset rather than a consumable.

Conditions might also refer to the financial or economic environment of the borrower. If economic conditions in the country are currently challenging (like in a recession), then the borrower may have more difficulty repaying the loan. Conditions might also refer to the financial condition of a specific sector or industry. For example, a drought may mean that agricultural conditions are tough, and a farmer may have difficulty paying back a loan. On the other hand, if Nushi works in a restaurant in a city with a robust tourist economy, then economic conditions are more suitable for loaning her money.

3. Mortgage Origination

Now that we've discussed basic credit analysis with respect to a relatively small personal loan, you know the types of questions a bank will ask a mortgage applicant before deciding whether to loan money for a home. Banks apply these same concepts to their decisions about providing loans (or any other form of credit) to their corporate clients. Similarly, investors use these concepts to determine which bonds to buy, as bonds are another form of credit very similar to a loan.

Let's return to the mortgage example from the beginning of this lesson and make some assumptions about how the 5 Cs of credit analysis apply to another hypothetical scenario.

Let's say Jacob has been running a farm for 10 years and making a profit (capacity). He owns the land that he farms (capital). Jacob is also very conscientious about paying his employees and suppliers whatever he owes them (character). He's been renting a room in a house, but now he wants a mortgage to buy his own house. The house will be the collateral for this mortgage loan. Jacob can afford to make a down payment of 20% of the house price (\$100,000 over \$500,000) and pay a decent interest rate (good contractual conditions). The weather has been good, and the harvest of Jacob's crops should be profitable (good financial conditions). In reality, a bank would want many more details, but let's assume Jacob's mortgage application was approved. Jacob receives a mortgage loan of \$400,000, which is a \$400,000 debt or liability, and in combination with the down payment of \$100,000, he can now afford to purchase the home. The bank has originated a mortgage, which consists of a corresponding \$400,000 asset.

The bank can now hold on to this mortgage loan asset and wait for Jacob to make monthly payments of principal and interest until he has fully paid back the loan. However, there are at least two reasons that this may be undesirable from the bank's perspective:

1. The mortgage term is likely 30 years, which is a long time for the bank to have its capital tied up in a single transaction. If the bank needs money during that time (say if depositors in the bank want to withdraw money), it could be hard for this bank to sell a single mortgage. A single mortgage is considered illiquid because most investors and other financial players do not want a single mortgage; there isn't a market for single mortgages. If the bank desperately needed to sell the mortgage loan because it needed

money to pay its liabilities (e.g., the depositors want to withdraw their money), another bank might buy the mortgage but for less than it is worth. The risk of not being able to sell an asset at all or having to sell an asset at a steep discount is called **liquidity risk**.

2. This retail bank may not have much capital, and \$400,000 may be a sizable portion of their assets. Let's consider an extreme example and say that the bank only has \$4 million in capital. That means the bank loaned Jacob 10% of their capital. If Jacob is the only borrower who defaults (doesn't make the monthly mortgage payments) on the loan, the bank's capital decreases to \$3.6 million, which may be unacceptable to investors in the bank as well as the bank's senior management. Too much of their capital, and too much risk, is concentrated in a single borrower. This is known as **concentration risk**. We saw from Module 3 that this is the opposite of a diversified portfolio. Just as we might be interested in having diversification in a stock portfolio and not having too much concentration in a single stock, the bank would also want diversification in the form of mortgage loans to a variety of borrowers.

If the bank does not want to keep the mortgage because of these risks, it can sell Jacob's loan to an investment bank. What is an investment bank? Why does an investment bank want these mortgages and their concentration and liquidity risks? What will the investment bank do with the mortgages it buys? We'll answer these questions in the next section.

4. The Investment Bank

Investment banks have a major role in the securitization of mortgages and other assets. But what is an investment bank? An investment bank is different from a commercial or retail bank in that its clients are usually larger institutions, though some of the services provided overlap across bank types.

	Investment Bank	Commercial or Corporate Bank	Retail Bank
Typical clients	Corporations and other institutions	Businesses, governments, and other institutions	Individuals, small businesses
Typical services	- Bond and equity underwritings - Initial Public Offerings (IPOs) - Mergers and acquisitions (M&A) advice and support - Brokerage (trade facilitation) - Dealing in swaps and other OTC derivatives - Issuance of MBSs and ABSs (via trust vehicle)	- Secured and unsecured lending - Cash management - Payment processing - Treasury services - Foreign exchange - Facilitate wires - Automated Clearing House (ACH) services	- Deposits (checking and savings accounts) - Loans (including mortgages and personal line of credit) - Access to cash (e.g., ATMs) - Safe deposit boxes - Facilitate wires

The following motto summarizes the strategy of investment banks active in mortgage securitization: "We are in the moving business, not the storage business."

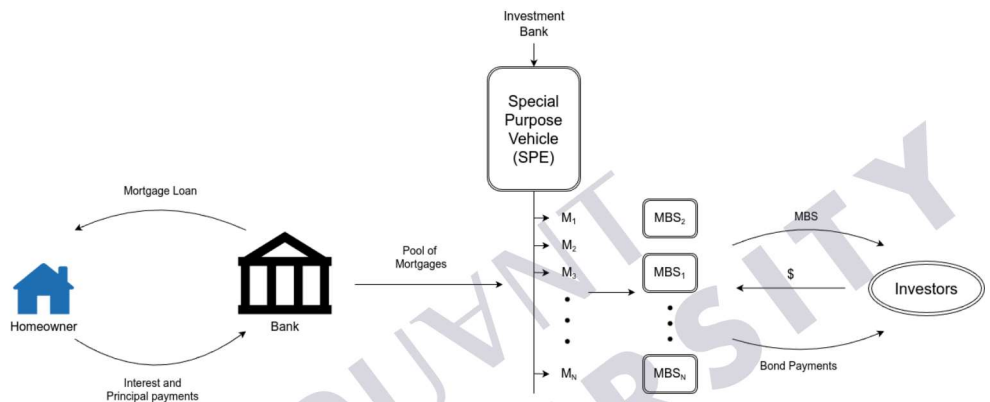
Watch the "[Mortgage-backed Securities Overview](#)" video from the list of required readings and see if you can explain what this motto means in terms of what an investment bank does with mortgages.

Does the investment bank in the video store (hold onto) the mortgages that it buys from the retail bank? Or does the investment bank move (sell) the mortgage into a special purpose entity (SPE)?

Since the investment bank moves these mortgages into an SPE, the investment bank doesn't keep the liquidity or concentration risks.

Watch the "[Mortgage-backed Securities III](#)" video from the list of required readings and pay close attention to what ultimately happens to all the monthly mortgage payments from borrowers. Where does that money end up?

Figure 1: Process of Mortgage Securitization and MBS Issuance



5. The Securitization Transformation

As you can see, a single mortgage-backed security is backed or collateralized by many thousands of individual mortgages. If an investor buys \$1 million worth of MBSs, a single mortgage will only comprise a fraction of a percent of that investment. The concentration risk we discussed above has been diversified away. The MBS has diversified underlying assets (mortgages) in the sense that there is no concentration in a single mortgage borrower. However, the MBS is still completely concentrated in the larger mortgage market. As such, this concentration in the mortgage asset class cannot be diversified away from MBSs.

Because this concentration risk has been at least partly eliminated, more investors want to buy MBSs; that is, there is an active market for MBSs. As long as there is an active market for buying and selling a security, it is considered liquid. The illiquid, concentrated single mortgage has been transformed into a relatively liquid security with diverse underlying mortgages. We will discuss definitions and calculations related to liquidity in Lesson 4.

We know about the securitization process that results in MBSs. We also discussed the credit concepts used to decide whether to make a personal loan (like to Nushi in our earlier example) or a mortgage loan or when buying a bond. Next, let's apply these concepts to two MBS investments. Take a look at the summary statistics for the mortgages underlying these two securities.

Please consider and try to answer the following questions about MBS collateral from the perspective of the 5 Cs of credit:

- LTV stands for "loan to value." The loan-to-value ratio is 80% for a \$400,000 loan on a \$500,000 house. This implies that the borrower supplied a down payment of \$100,000.
- DTI stands for "debt to income." The debt-to-income ratio is 33% if the borrower has \$330 of monthly debt expenses (such as the mortgage payment) and makes \$1,000 per month.
- FICO originally stood for "Fair Isaac Corporation," the company that developed the credit scoring model. FICO is a third-party **credit scoring service**. A high FICO score indicates a creditworthy borrower who is likely to repay their debts.

Capacity: From the perspective of capacity, which MBS would you prefer? From the information provided, the DTI ratio is probably the best indicator of capacity.

Capital: From the perspective of capital, the summary statistics do not provide much helpful information. What information about the borrowers would you like to know to help you assess these two securities in regards to capital?

Character: From the perspective of character, which MBS would you prefer?

Collateral: The collateral for a mortgage is always the house itself, so these two MBSs are about the same. However, the LTV ratio provides information about how much more the collateral is worth compared to the loan. Which MBS is more attractive from the collateral perspective when you take into account the LTV ratio?

Conditions: One type of condition we discussed was the purpose of the loan. In both of these cases, we know the underlying purpose of the mortgage loans is to buy a house.

We also talked about several contract terms that could impact the decision to provide a loan, such as the term of the loan and the interest rate. How do the underlying pools of loans compare in these regards?

Each summary mentions the average principal balance. Which principal balance would you prefer?

Once you've considered your responses to these questions, you can find the answers at the end of the lesson ¹.

6. Tranches and the Payment Waterfall

One of the simplest examples of securitization would involve the sale of only one class of bonds. But this would not necessarily be the best way to repackage the mortgages or any asset-backed security in general. Investors have different desires for returns and different appetites for risk.

For these reasons, the structure of securitization is often more complicated and involves several classes of bonds. In the introductory video, "Collateralized Debt Obligation Overview" and in the "Collateralized Debt Obligation (CDO)" video that follows it (both from the required readings), pay special attention to the differences between senior, mezzanine, and equity tranches of the collateralized debt obligation (CDO), especially in terms of risk and priority of cash flows.

From those readings, it should emerge that securitization involves forms of credit enhancement via what the industry calls **subordination** or **credit tranching**, which is realized by creating different bond classes. These bond classes differ in the way they share losses deriving from the defaults of the borrowers whose loans are included in the collateral.

The **senior bond class** is the least risky bond class, and it can comprise several sub-classes (tranche A, tranche B, etc.), each with a certain level of subordination to the previous sub-class. It is not unusual to refer to the non-senior classes as **subordinated classes** or **junior bond classes**. The risk goes up as we consider each subsequent class. And the risk goes up even more as we consider the **mezzanine** and the **equity classes**.

The process of subordination works in that the more subordinated classes protect the credit for the more senior bond classes: when losses occur, they are absorbed (i.e., attributed to) by the subordinated classes before any loss is incurred by the senior bond classes. These classes may satisfy the investors. Obviously, to compensate the holder of junior or subordinated bond classes for the additional risk, they will receive a higher return.

Example. Consider the case in which an investment bank has created an SPE with a total par value of \$300 million of mortgages. In the SPE, the credit tranching consists of 3 classes of bonds: tranche A (senior class) with a par value of \$200 million, tranche B (a subordinated mezzanine class) with a par value of \$70 million, and tranche C (an equity class) with a par value of \$30 million. Losses will be absorbed in this order: tranche C, tranche B, and tranche A. Then:

- If defaults do not exceed \$30 million, then they will all be absorbed by tranche C.
- If defaults are, say, \$50 million, then \$30 million will be absorbed by tranche C and \$20 million by tranche B. Nothing happens to tranche A, which would be fully repaid.
- However, if the SPE were to experience a massive default, say \$140 million, then tranche C and tranche B would be completely wiped out, and tranche A will also suffer a \$40 million loss as the subordinated tranches could only shield it from a loss of up to \$100 million.

While defaults are certainly feared as they could wipe out investments, there is another type of risk that is important to consider: **prepayment risk**. What is prepayment risk? In general, prepayment risk refers to the risk that the principal amount (or at least a portion of the principal amount) outstanding on a loan is prematurely paid back. Why should we worry about prepayment,

since we get our money back earlier instead of later? Well, we should think of why someone who owes us money is willing to pay us back earlier than agreed.

Suppose you had a mortgage on which you pay an interest rate of 6%. Now, overall interest levels are going down, and you are offered the opportunity to **refinance** your mortgage with a different bank for just 4.5%. What would you do? Unless there are restrictive clauses in your mortgage agreement or large penalties to pay, you would refinance your mortgage, right? The bank that originally provided your mortgage loan receives its money back ahead of time and can use that money to originate new mortgages. However, and this is where the problem lies, the new mortgage will be for around 4.5% instead of 6%. This is bad news for the bank, and it is usually not good news for the MBS investors either since investors receive their principal back ahead of time and need to reinvest it at what are likely lower rates of return. So, yes, there is less credit risk, but now they face reinvestment risk. To alleviate the issue of the uncertainty of cash flows that occurs with prepayment risk, investment banks can create an SPE whose MBSs consist of bond classes that possess different expected maturities. This type of tranching is called **time tranching**. This works like credit tranching essentially, but the difference is that prepayments are first absorbed by the subordinated classes and then, only after the buffering of the subordinated classes is completely used up, the more senior classes. It is quite unusual for MBSs to shield investors from prepayments as it would be too costly for the investment bank that issues the MBSs. However, time tranching addresses these issues. Of course, again, junior tranches would be compensated with a higher return for assuming more reinvestment risk.

You may wonder: why do we need a special legal entity, the SPE, in securitization? There are several reasons. The SPE will get a rating, as you learned from the required readings/videos. And this rating may be different from that of the company that issues the bonds associated with the securitization process. Using an SPE, the bonds can be backed by specific collateral instead of a generic collateral, which is very relevant in the unfortunate case of bankruptcy. We won't elaborate on this topic, but the creation of SPEs to issue MBSs is very relevant for legal reasons. While the process can vary based on different jurisdictions, in the case of securitization, courts have no discretion to change seniority for the very simple reason that the bankruptcy of an issuer does not extend to the SPE.

Now that you have seen how assets can be securitized to create new securities, read the relevant pages of [the Romero-Torres primer on securitization structure in India²](#). The concepts are the same, but this reading goes into a little more detail. You'll read more about cash flows and other relationships between the participants, from the borrowers to the investors, as well as some additional market players that have special roles to play, such as the servicer, the rating agency, and the credit enhancement provider.

7. Conclusion

In this lesson, we discussed how securitization transforms mortgages into MBSs. When determining the likelihood that a borrower will repay a loan, banks and other lenders consider the 5 Cs of credit: capacity, capital, character, collateral, and conditions. We also discussed how these fundamental credit concepts that determine whether someone gets a loan are applied to credit instruments of all kinds, including MBSs. Investment banks use the 5 Cs of credit when considering concentration of risk. We saw how credit risk can be reapportioned into different levels appropriate for different types of investors and that credit risk can be mitigated by different types of credit enhancement, which can be internal and/or external. We also learned about the different roles in the securitization process, from the mortgage borrower and lender, through the arranger and issuer, to the investor, the rating agency, and the servicer. In future lessons in this module, we will build on these concepts by focusing on the structuring of securitized products such as MBSs and how this results in tailored risk profiles and cash flow timing.

Footnotes

1. Answers:

Capacity:	You would prefer a lower DTI as an indicator of higher capacity to repay.
Capital:	You would like to know how much cash the borrower has on hand (in a safe at home or in the bank), what other types of investments the borrower has, and how much each of these is worth.
Character:	You would prefer the MBS with the higher average credit score, which suggests that the borrower is more likely to repay the loan.
Collateral:	You would prefer a lower average LTV, which implies lesser loan values compared to higher collateral values.
Conditions:	You would prefer shorter-term loans to longer-term loans so that you get paid back sooner. You would also prefer higher interest rates to lower interest rates so that you get paid back more.

1. In this reading about securitization in India, the local bank in the example above plays the role of the originator and lender.

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